

Case 10: Half the Marketing Budget Is Gone

Domain: Sales and Marketing | Decision Archetype: Marketing Budget Allocation | Framework: 7P (Marketing Mix)

Email — Forwarded Thread

From: CFO To: Head of Marketing Subject: Budget revision — please action

Given this quarter's numbers, marketing budget for StyleHive is being cut by 40% effective immediately. I know this is short notice. Please send a revised allocation plan by Friday. — CFO

From: Head of Marketing To: Marketing Team Subject: Fwd: Budget revision — please action

Team, see below. We need a plan by Thursday so I can review before sending to the CFO.

Current spend is spread across influencer partnerships, performance ads (Instagram/Google), in-app promotions, and a small retail pop-up program. We cannot keep funding all four at current levels.

I've asked Priya to pull last quarter's numbers so we can see what's actually working before we cut.

Priya's data, shared before Thursday's meeting:

Exhibit 1 — Spend vs Results by Channel (Last Quarter)

Channel	Spend (Rs. Lakh)	New Customers Acquired	Cost per Customer
Influencer Partnerships	45	3,200	Rs. 1,406
Performance Ads (Insta/Google)	60	8,900	Rs. 674
In-App Promotions	20	5,100	Rs. 392
Retail Pop-Up Program	35	1,100	Rs. 3,181
Total	160	18,300	—

New budget available: Rs. 96 Lakh (40% cut from Rs. 160L)

Exhibit 2 — Other Factors to Weigh (from team notes)

- Influencer partnerships build brand image but are hard to measure beyond direct sales
- In-app promotions only reach existing app users, not new customers outside the ecosystem
- Retail pop-ups create buzz in local press but are the most expensive per customer by far
- Performance ads are efficient but StyleHive risks over-relying on paid channels long-term, with no brand-building happening

Discussion Questions

1. How would you split the new Rs. 96 lakh budget across the four channels?
2. Would you cut any channel completely, or reduce all four proportionally?
3. What are you giving up by prioritizing cost-per-customer alone?